TAX PLANNING & COMPLIANCE
Suggested Answers
Nov-Dec 2022

Answer to the Question# 1(a)(i):

Mr. X will be able to take the opportunity of section 19F of the ITO 1984 to disclose his undisclosed income in the return of income applicable for the Assessment Year 2022-2023 although income period was been passed on 30th June 2022. This is because, based on newly inserted section 19F of the ITO 1984, it has been mentioned that no question as to the source of the undisclosed asset located outside of Bangladesh shall be raised by any authority if an assessee pays, before the submission of return of income applicable for the assessment year 2022-2023 (emphasized the underlined portion). For Mr. X, the due date for submission of income tax return for the assessment year 2022-2023 is on 30th November 2022 (unless extended). Hence, if Mr. X brings back the undisclosed income for the income year 2021-2022 (i.e., up to 30th June 2022) and pays taxes on or before the above-mentioned date, he will be able to take the opportunity of section 19F of the ITO 1984 to disclose his undisclosed income in the return of income applicable for the Assessment Year 2022-2023.

Answer to the Question# 1(a)(ii):

As per section 19F(2) of the ITO 1984, if Mr. X repatriates the undisclosed income of Tk. 30 million from abroad under the scheme of this section before 30th June 2022 or after i.e., before submission of tax return for the Assessment year 2022-2023 (before 30th November 2022 or before any extended date), the bank responsible for crediting to the account of Mr. X shall deduct tax in accordance with subsection 19F(1) of the ITO 1984 before crediting and give a certificate of such deduction to Mr. X. The tax amount will be Tk. 30 million x 7% = Tk. 2.1 million.

Answer to the Question# 1(a)(iii):

Section 19F of the ITO 1984 refers to that "Notwithstanding anything contained in this Ordinance or any other law for the time being in force, no question as to the source of the undisclosed asset located outside of Bangladesh shall be raised by any authority if an assessee pays, before the submission of return of income applicable for the assessment year 2022-2023 …" (emphasized the underlined portion). Based on this, it is clear that there's no exposure u/s 19G of the ITO 1984 for Penalty for any offshore asset not disclosed in the return or under any other laws applicable in Bangladesh.

Answer to the Question# 1(b)(i):

Section 18(2)(b) of the ITO 1984 specified that any income accruing or arising, whether directly or indirectly through or from any property, asset, right or other source of income, including intangible property in Bangladesh shall be considered income deemed to accrue or arise in Bangladesh. It is further clarified that the shares of any company which is a resident in Bangladesh shall be deemed to be a property in Bangladesh. Considering this, it is clear that all the income arising of the transfer of shares of Star PLC will be considered income deemed to accrue or arise in Bangladesh.

In case Star PLC is not a resident of Bangladesh, the transfer of any shares in Star PLC shall be deemed to be the transfer of an asset situated in Bangladesh to the extent that the value of the shares transferred is directly or indirectly attributable to the value of any asset in Bangladesh.

Answer to the Question# 1(b)(ii):

For Star A.G., its asset is share of a Star PLC (a Bangladeshi company), which is not listed on a recognized stock exchange on the specified date. In this case, the fair market value of the share shall be its fair market value on such date as determined by a merchant banker or an accountant in accordance with any internationally accepted valuation methodology for valuation of shares on arm's length basis as increased by the liability, if any, considered in such determination [Ref. Rule 3(3) of Offshore Indirect Transfer Rules, 2022]

Answer to the Question# 2(a):

a) Summary statement of Income for the A/Y 2022-23

Particulars	Shown Amount (Tk.)	Adjustment Amount (Tk.)	Revised Amount (Tk.)	Note
Total Income	12,000,000	1,000,000	13,000,000	1
Tax leviable on total income	3,000,000	250,000	3,250,000	2
Tax rebate u/s 44(2)(b)	360,000	(210,000)	150,000	3
Tax payable	2,640,000	460,000	3,100,000	4
Tax exempted and tax-free Income	2,400,000	(1,000,000)	1,400,000	5

b) Summary Statement regarding particulars of lifestyle for the A/Y 2022-23

Particulars	Amount (Tk.)	Amount (Tk.)	Amount (Tk.)	
Tax paid	2,640,000	-	2,640,000	
Travelling Expenses (International)	1,000,000	200,000	1,200,000	
PF contribution Own + Company	1,000,000	-	1,000,000	
Children education expenses	100,000	500,000	600,000	
Interest cost on borrowings for self-occupied flat	-	800,000	800,000	
Family Expense including food, utilities and others	500,000	1,500,000	2,000,000	
Total	5,240,000	3,000,000	8,240,000	

c) Summary Statement of Assets and Liabilities as on 30th June 2022

Particulars	Balance on 30th June 2022 Amount (Tk.)	Amount (Tk.)	Amount (Tk.)	
Assets:				
Non-Agricultural Property (Own Flat)	19,000,000	(1,000,000)	18,000,000	
Investments (Shares and Savings certificates)	6,000,000	-	6,000,000	
Motor vehicles	2,000,000	-	2,000,000	
Other fixed assets and Appliances	1,800,000	-	1,800,000	
Cash in hand/Bank and other deposits	2,660,000	(2,500,000)	160,000	
Total Asset	**31,460,000**	**(3,500,000)**	**27,960,000**	
Liabilities:				
Secured loan from Bank against Own Flat	8,000,000	-	8,000,000	
Bank loan	1,800,000	-	1,800,000	
Total Liability	**9,800,000**	**-**	9,800,000	
Net wealth as on last date of this income year	21,660,000	(3,500,000)	18,160,000	
Net wealth as on last date of previous income year	12,000,000	-	12,000,000	
Accretion in wealth	9,660,000	(3,500,000)	6,160,000	
Personal & Family expenditure	5,240,000	3,000,000	8,240,000	
Total Accretion of wealth	**14,900,000**	**(500,000)**	**14,400,000**	
Source of Fund:				
i) Shown Return Income	12,000,000	1,000,000	13,000,000	
ii) Tax exempted/Tax free Income	2,400,000	(1,000,000)	1,400,000	
iii) Other receipts: Loan from Sister	500,000	(500,000)	-	
Total Source of Fund	14,900,000	(500,000)	14,400,000	
Difference Total Accretion of wealth vs Total source of fund	-	-	-	

Note 1: Leave Fare Assistance expenses of Tk. 1,000,000, utilized for Foreign travel considered exemted once in 2 years only. In this case, since such exemption has already been claimed in the last fiscal year, exemption will not be allowed this year.

Note 2:Tax on inadmissible Leave Fare Assistance expenses of Tk. 1,000,000 @ 25%

Note 3: This is for excess tax rebate claim. Investment allownce claimed = 360,000/15%= 24,00,000. Actual Investment made (PF only)= 10,00,000. Adjustment for excess investment allowances claim = (24,00,000-10,00,000) x 15% = 210,000

Note 4: This is the resulted increase in tax payable. Since not paid, neither shown in Lifestyle statement, nor in the Asset & Liability statement as liability.

Note 5: This is due to adjustment for Leave Fare Assistance expenses of Tk. 1,000,000, utilized for Foreign travel claimed as considered exemted/tax free income.

Answer to the Question# 2(b):

Remedy available for avoiding potential exposure for the misstatements for Mr. Z under the ITO 1984:

The return has been filed u/s 83 of the ITO 1984 on 31st October'22 i.e., one month before the due date of 30th November 2022. U/s 83 Assessment is done after hearing and it's clear that the assessment has not started yet. Hence, following the provision of section 78 of the ITO 1984, Mr. Z can file a revised return correcting the misstatement any time before the assessment is made.

Answer to the Question# 3(a):

Finance Act 2022 inserted a new section 111A funder ITO 1984 for "startup" business. Accordingly, to avail the unique befits allowed under the ITO 1984, I would recommend to go for Option (2). This is because, under ITO 1984 if the new company is a subsidiary of another company holding fifty percent or more of its shares, startup benefits will not be available.

For qualifying as a startup under the law, it needs to be registered under the law. A startup shall not be eligible for registration under this section, if it -

a) is incorporated prior to first day of July 2017; or
b) is incorporated between first day of July 2017 and thirtieth day of June 2022 and fails to get registration by the thirtieth day of June 2023; or
c) is incorporated on or after first day of July 2022 and fails to get registration under this section by thirtieth June of every year following the year of its incorporation.

Other important criteria for qualifying as startup are as follows:
Startup means a company with annual turnover not exceeding Taka 100 crore in any financial year and that-

i) is incorporated under Companies Act 1994; and
ii) works towards deployment or commercialization of new products, process or service driven by innovation, development and technology or intellectual property; and
iii) is not a subsidiary of another company holding fifty percent or more of its shares; and
iv) is not a resulting company of a scheme of amalgamation or demerger.

Answer to the Question# 3(b)(i) & (ii):

Glow Industries Limited
Computation of total income for the assessment year 2022-2023

	Taka	Taka
Net profit (loss) before tax as per accounts		(14,900,000)
Add:		
Accounting depreciation	35,000,000	
Royalty and Technical fees expenses (cosidered separately u/s 30B)	-	
Free samples (cosidered separately u/s 30B)	-	
Excess perquisites (cosidered separately u/s 30B)	-	
Promotional expenses exposed u/s 30p	-	
Provision for gratuity made during the year	-	
Entertainment expenses	-	
Adjustment @ arm's length price for selling to AE [(52/(1+4%) X (1+6%)) - 52) million]	1,000,000	
Interest on foreign loan as per accounts	4,000,000	
		40,000,000
Less:		
Tax depreciation	20,000,000	
Free samples (cosidered separately u/s 30B)	-	
Interest on foreign loan allowed (4 million/4% X 3.5%)	3,500,000	
Entertainment expenses (cosidered separately u/s 30B)	-	
Royalty expenses (cosidered separately u/s 30B)	-	
		(23,500,000)
Total income of the company [Requirement (i)]		1,600,000

Total disallowances u/s 30 are:	Amount (Tk.)
[1] Royalty (u/s 30h) i.e., Tk. 150 million x 5%	7,500,000
[2] Technical Assistance fee (u/s 30h)	2,000,000
[3] Promotional expenses u/s 30p [Maxim allowed 0.5% of 150 million]	9,250,000
[4] Excess perquisites (14,50,000-10,00,000) X 5	2,250,000
Total	21,000,000

Computation of tax liability of the company	Amount (Tk.)	Amount (Tk.)
Tax on total income	480,000	
Tax on gross receipts as per section 82C(4) (15 crore X 0.60%)	900,000	
Whichever is higher		900,000
+		
But tax @ 30% as per sec. 30B on disallowances u/s 30	21,000,000	6,300,000
Gross Tax liability [Requirement (ii)]		**7,200,000**

Notes:

1. For cosmetic Industries, allowable expenses on free sample is 1% on 5 crore, 0.5% on next 5 to 10 crore. Hence, it is (5 crore x 1.0% + 10 crore x 0.5% = Tk. 1 million (Rule 65c). Actual expense is 1 million. Hence allowable
2. Profit before charging entertainment expense is Tk.1,600,000 + add back entertainment charge Tk. 400,000 + disallowance under section 30B Tk. 21,000,000) = 23,000,000. Allowable: 1st 1 million x 4% + 22,000,000 x 2% = 40,000 + 440,000 = 480,000. Hence entire amout Tk. 400,000 spent is allowable
3. Royalty is allowed up to 8% of disclosed net profit. As disclosed net profit is negative so no royalty is allowed (Sec 30h).
4. Tax @ 30% to be paid on disallowances u/s 30 as per section 30B.
5. For funded gratuity scheme, only amount paid to the fund is considered as allowable expenses.
6. R&D expenses is allowable. However Technical Assistance fee should be considered under the purview of section 30h, which is 8% of disclosed net profit. As disclosed net profit is negative, no technical assistance fee is allowed (Sec 30h).
7. For Promotional expense, maximum allowable limit is 0.5% of disclosed turnover, which is Tk. 150 million x 0.5%
8. Since, the company failed to comply with non-cash transaction condition, tax rate should be 30%.

Answer to the Question# 4(a):

As per section 152H (e) of the ITO, 1984, "dispute" means an objection of an assessee regarding-

(i) assessment of income above the income declared by him in his return of income for the relevant year, or

(ii) order of an appellate authority under chapter XIX (Appeal and Reference) which results in assessment of income which is above the declared amount in his return of income.

According to section 152I of the ITO, 1984, notwithstanding anything contained in Chapter XIX, an assessee, if aggrieved by an order of an income tax authority, may apply for resolution of the dispute through the ADR process. An assessee may apply for ADR of a dispute which is pending before any income tax authority, tribunal or court. However, where any dispute has already been filed in the form of Writ petition shall not be a subject of ADR. All cases mentioned above are subject to permission of the concerned income tax authority, tribunal or the court, as the case may be.

In light of the above, it is understandable that ADR is not permitted when objection is raised by the DCT and he preferred appeal before the Taxes Appellate Tribunal. In absence of explicit provisions of laws, the application made by the Company for permission of ADR may be rejected by the concerned Bench of the Taxes Appellate Tribunal in the case under discussion.

Answer to the Question# 4(b):

For application of section 53BB of the ITO, 1984, there must be export proceeds received by an exporter received from export of goods. The aforementioned section is also applied to deemed export, where there is a back to back LC opened against master LC. In the latter case, the deemed exporter shall supply goods to the exporter. As defined in the ITO, 1984, "export" means supply of goods and services from inside to outside the geographical limits of Bangladesh and shall include supply of locally manufactured raw materials and other inputs to export oriented industry under internal back to back letter of credit. The goods so supplied by the deemed exporter shall be used in manufacturing the finished products to be exported. In case of both actual and deemed export, proceeds realization certificate is issued by bank. The issue under discussion is different. PQ Steels Limited makes supply on behalf of a foreign company, which is a contractor of Rooppur Nuclear Project but not an exporter. Rather, the case may be examined under the proviso of section 52Q of the ITO, 1984, which reads as follows:

Any person, responsible for paying or crediting to the account of a person any sum remitted from abroad by way of a fee, service charges, commission or remuneration, called by whatever name, or by way of revenue sharing of any name and nature, for—

(a) providing any service rendered in Bangladesh; or

(b) rendering any service or performing any task by a resident person in favour of a foreign person; or

(c) allowing the use of any online platform for advertisement or any other purposes,

shall deduct tax at the rate of 10% at the time of making payment of the sum or crediting the sum to the account of the payee:

Provided that the rate of deduction under this section shall be 7.5% where the remittance has been received as consideration for contracts on manufacturing, process or conversion, civil work, construction, engineering or works of similar nature.

It is worth noting that supply of goods is not explicitly mentioned in the proviso, despite some specific contracts and works of similar nature has been brought under the purview of section 52Q. For Rooppur Nuclear Power Plant, exemption of AIT at import stage has been granted under SRO No. 255-Aain/Aaikor/2021 dated 07 July 2021.

There are 2 residual provisions for deduction/collection of tax at source – one is in section 52 (execution of a contract, other than a contract for providing or rendering a service mentioned in any other section of Chapter VII) and another is in section 52AA (any other service which is not mentioned in Chapter VII and is not a service provided by any bank insurance or financial institutions). Specified person is responsible for making deduction under section 52 and 52AA of the ITO, 1984.

It should be noted that there is no exemption from AIT for local supply. Section 52 of the ITO, 1984, is applicable to any payment made by a specified person to a resident on account of supply of goods. Payment on account of execution of a contract, other than a contract for providing or rendering a service mentioned in any other section of Chapter VII, is also under the scope of section 52. Section 52AA also states similar omnibus provision. According to sl. 17 of the table provided under section 52AA (1), payment for any other service which is not mentioned in Chapter VII of the ITO, 1984, and is not a service provided by any bank, insurance, mobile financial services or financial institutions shall be subject to 10% TDS. However, supply of goods should not fall under the purview of section 52AA.

As per section 52, specified person means, inter alia, a company as defined in clause (20) of section 2 of the ITO, 1984, a foreign contractor, a foreign enterprise or an association or a body established outside Bangladesh. Hence, obligation to ensure tax deduction at source lies on the foreign contractor/enterprise itself in the case under discussion. As per section 49 (3) of the ITO, 1984, for the purpose of Chapter VII, "person responsible for making payment", with its grammatical variations and cognate expressions, means, in the case of payment of any sum, except salaries and interest on securities, which constitutes an income of the payee chargeable to tax under the ITO, 1984, the payer himself, or if the payer is a company or other institution, such

company or institution including the principal officer thereof. It means that the payment referred to in section 52 of the ITO, 1984, will be expenditure of the payer. We understand that payer in the aforementioned section does not refer to the banker of the payee. It is notable that bank Company is obligated to collect tax in certain cases as a banker to its client.

In light of the above, it is clear that none of those sections absolutely covers the transaction under discussion. However, bank of beneficiary may consider application of 52Q of the ITO, 1984, for securing revenue of the government.

Answer to the Question# 5(a)(i):

For Love Ltd.:
Book value of Assets less accumulated depreciation = Tk. 20 million – 8 million = Tk. 12 million
Loan provided by Arab A.G. to Love Ltd. = Tk. 7 million, i.e., in percentage it is = 7/12x100 = 58.3%

As per section 107A(2)(e) of the ITO 1984, an enterprise will be called as associated enterprise, if the cumulative amount of borrowings of one enterprise from the other enterprise constitutes more than fifty percent of the book value of the total assets of that other enterprise. Hence, in this case Arab A.G. and Love Ltd. are associated enterprises.

Answer to the Question# 5(a)(ii):

Before examining the nature of transaction whether it's international transaction or not, we need to first determine the relationship between Mango Ltd. and Jackfruits Ltd.

As per section 107A(2)(c) of the ITO 1984, an enterprise will be called as associated enterprise, if one enterprise holds, directly or indirectly, shares carrying more than twenty five percent of the voting power in the other enterprise. In this case, Jackfruits Ltd controls shares more than twenty five percent of voting powers of Mango Ltd. Hence, there's associated enterprises relationship between Mango Ltd and Jackfruits Ltd.

Asper section 107A(5)(b) of the ITO 1984, as long as the transactions is being determined/negotiated by an associated enterprise, even if the transactions are taking place between two resident companies, it will be considered as deemed international transaction. Hence it has to be disclosed in the Statement of International Transaction.

Answer to the Question# 5(b):

Sales price of Y = Tk. 10,00,000
Less: Gross Margin of unrelated parties = Tk. 10,00,000 × 25%= Tk. 2,50,000
Less: Expenses incurred by Y = Tk. 10,000
Arm's length price following Resale Price method = Tk. 10,00,000 - 250,000-10,000 = Tk. 7,40,000

Answer to the Question# 6(a):

Identifying any supply of goods and services whether exempted from payment of VAT:

1. As per section 2(3) and section 26 of the VAT & SD Act 2012, the goods and supplies mentioned under First Schedule of the VAT & SD Act 2012 are exempted. So, we need to check this list to identify whether there are any exemption available
2. If the turnover is below the threshold limit apply for Turnover Tax u/s 2(47) of the VAT & SD Act 2012, in that case also VAT payment is exempted
3. Goods and services exempted vide SRO, General Order or Special Order issued u/s 126 of the VAT & SD Act 2012

Answer to the Question# 6(b):

Circumstances when, Zero-rated supply is applicable:
Notwithstanding anything contained in the VAT & SD Act 2012, the following supplies shall be zero-rated:

- any supply relates to:

(i) supply of immoveable property to land outside Bangladesh
(ii) supply of goods for export
(iii) supply of a service directly related to any land situated outside Bangladesh

- the right to receive zero-rated supplies or supplies related to an option to buy or sell futures.

Answer to the Question# 6(c):

If a supply is both exempted and zero-rated, it shall be treated as zero-rated and not exempted, under the provisions of this sub-section.

Answer to the Question# 7(a):

Being S Ltd follows standard VAT rate, the applicable amount of VAT will be Tk. 10,00,000 x 15% = Tk. 150,000

As per section 16(c) of the VAT & SD Act 2012, for import of service, service recipient is responsible for payment of VAT. Hence, in this case S Ltd is responsible for making the payment of VAT Tk. 150,000.

Answer to the Question# 7(b):

Conditions that S Ltd should fulfill to claim this VAT as input VAT:

i) First of all, S Ltd being a manufacturing organization should include such import of service cost as input cost in the Input Output Coefficient (Musak 4.3) [ref. section 46(1)(m) of VAT & SD Act 2012]
ii) Showing the amount of VAT paid against import of service as output VAT in the VAT return [ref. section 46(1)(b) of VAT & SD Act 2012]

Answer to the Question# 7(c):

Extract of Monthly Return of S Ltd: For the month of September 2022

Particulars	Base Value Amount (Tk.)	VAT Amount (Tk.)
SUPPLY - OUTPUT TAX:		
Import of service (testing fees by foreign lab)	1,000,000	150,000
Total Output Tax (A)		**150,000**
SUPPLY - INPPUT TAX		
Input tax credit on import of service (testing fees by foreign lab)	1,000,000	150,000
Total Input Tax (B)		**150,000**
INCREASING ADJUSTMENTS (VAT)		-
Total Increasing Adjustment (C)		-
DECREASING ADJUSTMENTS (VAT)		
Total Decreasing Adjustment (D)		-
NET VAT PAYABLE		
Net payable from the above (A+C-B-D)		-
Break-up of deposits September 2022:		
Deposit for Import of Service (Testing fees) at the time of remmitance (to be deducted from Net Payable amount for the month)	150,000	
Deposit for balance amount payable (before submission of Return)		
	150,000	

Note-1: Under reverse chanrge mechanisim, for import of service both output VAT and Input VAT entry has to be recorded u/s 46(1)(kha) of the VAT and SD Act 2012

Answer to the Question# 8(a):

VAT registration requirement, VAT payment procedure and eligibility of input VAT claim under VAT and SD Act 2012 in the following cases:

Section 4 of the VAT & SD Act 2012 defines as to which person should get registration under the Act. Accordingly, comments are given below:

(i) Bangladesh Standards and Testing Institution (BSTI):

It's a government agency, not included under the definition of "person" under the Act. Hence, it's not mandatory for BSTI to get VAT registration under the Act. However, since the service is not VAT exempted, service recipient will be responsible for payment of VAT through treasury challan. In this case in the absence of Musak 6.3 input VAT rebate cannot be claimed.

(ii) Electricity services provided by Dhaka Electric Supply Company (DESCO). DESCO do not provide any separate Musak 6.3 for the VAT it collects from its customer.

DESCO is a company and included under the definition of person under the Act. Hence, DESCO is required to get registration under the VAT Act. Although DESCO do not provide any separate Musak 6.3, but section 46(3)(uma) of the Act allows DESCO invoice to be treated as VAT Challan, hence there should not be any issue to claim the input VAT rebate.

(iii) Import of service by Bangladeshi company from an accredited laboratory in Germany for testing services:

Reverse charge mechanism shall be applicable for import of services u/s 20 of VAT & SD Act 2012. Accordingly, service provider does not require to get VAT registration. However, the recipient of the service recipient shall be responsible for payment of VAT. In this case, service recipient will act as service provider and create output liability, which it will also settle on behalf of the service provider. On the other hand, being the service recipient, subject to fulfillment of other conditions of law, it will be eligible for claiming the VAT paid as input VAT rebate.

(iv) Branch office of a foreign company:

As per section 4(2) of the VAT & SD Act 2012, for any economic activity conducted in Bangladesh by any such branch office of a foreign company, a VAT registration has been made mandatory through Finance Act 2022. Accordingly, for any such economic activity, such branch office can collect VAT from its supply/service recipient through Musak 6.3. The recipient of the supply/service will be eligible for claiming such VAT as input VAT rebate subject to fulfillment of other conditions of law.

Answer to the Question# 8(b):

Tax Type	Base Value Formula	Base Value	Tax rate	Tax amount
CD	AV	25,000/-	25	6,250/-
RD	AV	25,000/-	10	2,500/-
SD	AV+CD+RD	33,750/-	20	6,750/-
VAT	AV+CD+SD+RD	40,500/-	15	6,075/-
AT	AV+CD+SD+RD	40,500/-	5	2,025/-
Tax amount				23,600/-

So, amount of VAT is = Tk. (25,000+6,250+2,500+6,750) multiples rate of VAT 15% or Tk.40,500 x 15% =Tk.3,540/-.

Answer to the Question# 9(a, b & c):

Requirement (a): Targetd selling price for 1pc 200g Tin

Particurars	**Taka**
Cost of raw materials based on bill of entry:	
Cost of material (Note - 1)	559.58
Overhead cost and marketing cost 30% of landed cost	167.87
Total cost	727.45
Targeted profit 25% of the Targeted selling price (i.e., 1/3rd of total cost)	242.48
Target selling price without VAT	969.94
VAT @ 15%	145.49
Target selling price inclussive of VAT	1,115.43
Target selling price inclussive of VAT (rounded-off)	**1,116.00**

Note - 1. Cost of material

Component			**For the Consignment**	**For 1 pc of 200g Tin**
(1,000ctnX48X 200g Tin) = 48,000 pcs of Tin				
FOB Value as per Invoice (US$)		USD	200,000.00	4.17
Freight		USD	4,000.00	
Insurance		USD	1,200.00	
CIF value		USD	205,200.00	
Landing charge 1% of CIF value		USD	2,052.00	
Assessable value in USD		USD	**207,252.00**	
Assessable value in Tk	**100.00**	**Taka**	**20,725,200.00**	431.78
Customs duty (Note-2)	5%	Taka	1,036,260.00	21.59
Regulatory duty	3%	Taka	621,756.00	12.95
Supplementary duty	20%	Taka	4,476,643.20	93.26
Value Added Tax	15%	Taka	4,028,978.88	83.94
Advance Income Tax	5%	Taka	1,036,260.00	21.59
Advance Trade VAT	5%	Taka	1,342,992.96	27.98
Total duities and taxes in Tk		Taka	12,542,891.04	261.31
Total Assessable values + duities and taxes in Tk		Taka	33,268,091.04	693.09
Less: Recoverable (VAT, AT) and AIT		Taka	6,408,231.84	133.50
Landed cost of material (Input Cost)		**Taka**	**26,859,859.20**	**559.58**

Note-2: Considering PTA benefit will be avilable, basic duty has been considered 5%

Requirement (b): Value addition

Output value withtout VAT per unit	969.94
Input cost per unit	559.58
Value addition in Taka	410.36
Value addition in %	73%

Requirement (c): Whether launch or not

Targeted selling price inclusive of VAT	1,116.00
Average competition price inclusive of VAT	850.00
Premium over competition in Taka	266.00
Premium over competition in %	31%

Since it is exceeding the 20% threshold determined by the management, company should not launch this product

---The End---